

Editorial information

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For discussion of the tax rules in relation to qualifying companies (QCs) and loss-attributing qualifying companies (LAQCs), see CCH, *New Zealand Master Tax Guide 2024* (NZ Master Tax Guide 2024), ¶19-010 to ¶19-150.

Qualifying companies — background [¶19-010]

[¶19-010]

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The qualifying company (QC) regime is an elective regime contained in subpart [HA](#). Overall, the QC rules aim to treat small, closely-held companies in a similar way to partnerships. This is achieved by deeming the shareholders and the QC to be one entity for tax purposes. However, all the benefits of corporate ownership, in particular limited liability, remain.

A QC pays only two types of dividend — taxable but fully imputed dividends, or exempt dividends to resident shareholders. A QC pays taxable dividends to the extent of the amount of imputation credits it has available to attach. After that, the dividends that the company pays are exempt from income tax. This offers shareholders tax-free access to capital gains derived by closely-held companies without liquidation of the company. This is regarded as a major advantage of QC status. However, shareholders are liable for the tax on assessable income derived by the QC if the company fails to pay.

The QC regime changed from 1 April 2011 for income years beginning on or after 1 April 2011. Existing QCs and loss-attributing qualifying companies (LAQCs) can continue to use the QC rules (but without the ability to attribute losses). Transitional rules allowed existing QCs and LAQCs to transition to a look-through company (LTC) or change to another business entity without tax cost between 1 April 2011 and 31 March 2013. Companies that were not already QCs as at 1 April 2011 are no longer able to enter the QC regime.

The changes grandfather the QC rules for existing QCs and LAQCs only. That is the QC rules still apply going forward to QCs existing at 1 April 2011 unless they are liquidated, choose to revoke their QC election, or use the transition rules to transition to another entity. A further change from 1 April 2017 ensures QC status will also be lost if there is a change in control of the company. See [¶19-038](#)

Law: IT07 subpart [HA](#)

Last reviewed on 31 December 2025

Advantages and disadvantages of being a qualifying company [¶19-015]

[¶19-015]

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Advantages

Some of the advantages of the qualifying company (QC) regime were:

- # dividends paid by a QC are either tax free to resident shareholders or have maximum imputation credits attached
- # non-cash dividends distributed to shareholders of QCs who are not employees or associated to an employee are not subject to fringe benefit tax, and
- # during the time that a company is a QC, no debit arises in the company's imputation credit account for a breach of shareholder continuity (see [¶19-120](#)).

Disadvantages

Some of the disadvantages of the QC regime were:

- # its complexity
- # shareholders are personally liable for a share of any of the company's income tax liabilities
- # inability to group with non-QCs to offset available tax losses against net income
- # the continuing compliance costs, and
- # the possible limitation of interest deductibility (see [¶10-650](#)).

Last reviewed on 31 December 2025

Definition of a qualifying company [¶19-025]

[¶19-025]

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It is no longer possible for a company to become a qualifying company (QC).

For an existing QC to remain a QC, all of the following criteria have to be met: the entity cannot be a unit trust, it cannot be a foreign company (see [¶19-030](#)), and it must have five or fewer shareholders or be a flat-owning company (see [¶19-035](#)). Each shareholder in the company must be either another QC, a natural person, or a trustee of a trust in which all dividend income (excluding non-cash dividends that are not taxable bonus issues) derived by the trustee from the QC is beneficiary income of beneficiaries other than trustees or non-QCs. The company cannot derive more than \$10,000 in foreign-sourced non-dividend income in any year, or have an income interest in a CFC or a direct income interest of 10% or more in an FIF (see [¶19-040](#)). All shareholders must elect to be severally liable for a proportion of the QC's income tax (see [¶19-055](#)). Valid shareholder and director elections must remain in force and not be revoked.

Law: IT07 ss [HA 2](#), [HA 5](#)–[HA 9](#)

Last reviewed on 31 December 2025

Qualifying companies and the non-resident test [¶19-030]

[¶19-030]

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A qualifying company cannot be a company that is not resident in New Zealand or is resident but is treated as non-resident for the purposes of a double tax agreement.

Law: IT07 s [HA 6\(2\)](#)

Last reviewed on 31 December 2025

Qualifying companies and the shareholder test [¶19-035]

[¶19-035]

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Each shareholder in a qualifying company (QC) must be another QC, a natural person, or a trustee of a trust where all dividend income (excluding non-cash dividends other than taxable bonus issues) derived by the trustee from the QC is beneficiary income of beneficiaries who are not trustees or non-QCs.

A QC must have five or fewer shareholders or be a flat-owning company. A “flat-owning company” is a company whose shareholders are entitled to the use of a specific residential property (where such properties are the only significant assets of the company). For the purposes of applying the “five or fewer” shareholders test, the following rules apply:

- # Shares in any QC held by another company are deemed to be held by the ultimate shareholders.
- # Shareholders related by blood or marriage, civil union or de facto relationship, within one degree of relationship are deemed to be one shareholder. See [¶16-245](#). Single shareholder status will continue to apply in the event of any subsequent death or dissolution.
- # Where a trustee is a shareholder the number of deemed shareholders at any time is the greater of:
 - # the number of beneficiaries who have received dividends from the QC through the trust since the 1991–92 income year, or
 - # the number of beneficiaries who elected that the company become a QC on behalf of the trust.

The trustee is not counted as a shareholder for these purposes.

An anti-avoidance provision in s [GB 6](#) prevents a company from being a QC where the shares have been subject to an arrangement for the purposes of allowing a company to be a QC and the arrangement defeats the intention and purpose of the regime.

The shareholder test does not affect the determination of each individual shareholder’s effective interest calculation.

Law: IT07 ss [CD 31\(2\)](#), [GB 6](#), [HA 6\(1\)](#), [HA 7](#)

Last reviewed on 31 December 2025

Qualifying companies and the shareholder continuity limitation [¶19-038]

[¶19-038]

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With effect from 1 April 2017, for the 2017–18 and later income years, QC status is lost if there is a change in control of the company. This is to ensure that existing QC owners cannot trade any tax advantage.

The change in control is measured using a continuity test and requires a “minimum QC interest” (being the lowest voting or market value interest held in the company during the continuity period) of at least 50% for the “QC continuity period”. The “QC continuity period” extends from 30 March 2017 (the date the relevant legislation was enacted) to the last day in the relevant income year. Note that for the purposes of the shareholder continuity measurement, changes to shareholding resulting from property relationship settlements or the death of a shareholder are ignored.

An exclusion also applies under the section for transfers of shares between close relatives. Transfers between close relatives are treated as being held by a single notional person and are ignored when measuring a change in control. A “close relative” is defined for these purposes for a person as a spouse, civil union partner, de facto partner, or other person within the second degree of relationship to the person.

Example:

A QC has two shareholders. Mickey holds 45% of the shares and Minnie holds 55% of the shares. Minnie transfers her shares to her son, Max. Max then transfers half of his shareholding to his wife, Michelle.

As the transfers between Minnie, Max and Michelle have all been between close relatives, they are treated as being held by a single notional person and will not affect the QC continuity test.

Law: IT07 ss [HA 6\(3\)](#), [\(4\)](#), [\(5\)](#), [YA 1](#) (“close relative”)

Last reviewed on 31 December 2025

Qualifying companies and foreign income [¶19-040]

[¶19-040]

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A qualifying company (QC) can derive no more than \$10,000 of foreign non-dividend income during an income year. Foreign non-dividend income means income that does not have a source in New Zealand, is not a dividend, and is not FIF income calculated under the fair dividend rate method. In calculating the amount of foreign non-dividend income derived during an income year, a deduction is permitted for the lesser of the foreign non-dividend income derived under the financial arrangements rules, or 10% of the company's gross income for the income year.

A QC must also not have one or more of the following:

- # income interests in a CFC (see [¶26-060](#))

- # interests in a FIF that are a direct income interest of 10% or more (see [¶26-110](#)).

Law: IT07 ss [HA 8B](#), [HA 9](#), [YA 1](#) ("foreign non-dividend income", "income interest")

Last reviewed on 31 December 2025

Qualifying companies and director elections [¶19-050]

[¶19-050]

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A company could only become a qualifying company (QC) if all the directors of that company elected that the company become a QC.

Revocation

A director election can be revoked only by a resolution of the board of directors notified in writing to the Commissioner. A revocation will then take effect from the later of the beginning of the income year the board nominates or the income year in which the notice is received by the Commissioner. If a director resigns or dies, there is no deemed revocation of the director election. By electing that a company become a QC, directors, unlike shareholders in a shareholder election (see [¶19-055](#)), do not become personally liable for the income tax of the company.

Law: IT07 ss [HA 5](#), [HA 30](#), [HA 31](#)

Last reviewed on 31 December 2025

Qualifying companies and shareholder elections [¶19-055]

[¶19-055]

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A company can only be a qualifying company (QC) where each shareholder who is sui juris, ie a person who has full legal capacity, has signed a notice of election that the company be a QC. In addition, each shareholder must agree to be personally liable for his or her share of the company's income tax liability based on his or her effective interests in the company. This includes any tax liability that the company itself may have elected to guarantee as a shareholder of another QC. The liability is in respect of income tax and not GST or fringe benefit tax. The shareholder is liable for the "effective interest" he or she may hold in the company for the relevant year. Effective interest is defined as the person's voting interest in the company at that time or for that income year (see [¶16-145](#)), or where a market value circumstance exists, the average of the person's voting interest and market value interest in the company (see [¶16-175](#)).

In determining a person's effective interest, s [HA 44](#) makes some modifications to the measurement of voting and market value interests. If the shareholder is a company, the tests determining voting and market value interests are applied as if the shareholder is not a company. There is no attribution of interests held by the company shareholder to its own shareholders. Where a shareholder's voting or market value interest varies during the year, that person's interest for the period will equal the weighted average of the voting or market value interest. Where a shareholder election (or trustee shareholder election) is revoked, the shareholder is treated as having a nil voting interest and a nil market value interest during any period following the date on which the revocation takes effect, unless the person makes a subsequent shareholder election during, and in respect of, the same income year and in respect of the company.

Trustee shareholders

A trustee shareholder in a company is treated as having made an election only when that trustee and any one or more natural person sui juris beneficiaries have elected that the company should become a QC. The trustee and beneficiary must also agree to take personal liability for the trust's portion of the company's income tax payable. In the case of the trustee, this liability is limited to the extent of the net assets of the trust.

If there are no sui juris beneficiaries, the election must be made by the trustee and a natural person (who may also be the trustee) assuming liability on behalf of beneficiaries.

If the election made as trustee is made for the majority shareholding under s [HA 29](#), the personal liability extends to the effective interests of the minority shareholding.

To maintain QC status, the trustee shareholder must pay or vest dividends received from the QC as beneficiary income. In some instances, a trustee is prevented under trust law from paying or vesting such income to beneficiaries, thus causing the company to lose its QC status. However, s [HA 11\(5\)](#) provides that QC status will not be lost where the trustee shareholder pays or vests as much of the dividend as is allowed under general trust law. In addition, dividends must have been paid or vested as beneficiary income since the company became a QC. See also *Tax Information Bulletin* [¶218-154 Vol 21, No 8](#), October/November 2009, Pt II at 157.

Minority and majority shareholders

One or more shareholders who have effective interests in the company of 50% or more (the majority) may elect that the company become a QC. The majority must also agree to take personal liability for the minority's share of the company's income tax payable. The minority, being one or more shareholders with effective interests of less than 50%, are then treated as having made the relevant election.

Revocation

A shareholder's election can be revoked by voluntary revocation. The shareholder must notify both the Commissioner and the company. Revocation applies from the beginning of the income year in which Inland Revenue (IR) receives the notice, unless a later year is specified. When determining the effective interest in the company of the person making the revocation, the revocation takes effect when both the company and IR have received the notice, unless a later date is specified.

A shareholder's revocation is also automatic, where certain events occur, ie the death of the shareholder, a previously non-sui juris shareholder becomes sui juris, the entire shareholding is sold to a new shareholder, a joint election has been made and revocation is made by one of the electors, and a minority shareholder becomes a majority shareholder or vice versa.

A period of grace is allowed for new elections to be made: see [¶19-070](#).

Law: IT07 ss [HA 5](#), [HA 8](#), [HA 11\(5\)](#), [HA 28](#), [HA 29](#), [HA 30](#), [HA 32](#), [HA 33](#), [HA 43](#), [HA 44](#)

Last reviewed on 31 December 2025

Qualifying companies and period of grace for new elections [¶19-070]

[¶19-070]

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So long as a new election is made within a specified time, the qualifying company (QC) regime provides for certain periods of grace where an election has been revoked resulting in the QC losing its QC status. A company will, therefore, not cease to be a QC if the following occurs:

- # the company would have been a QC but for the death of the shareholder or any other person and the company meets all the criteria for being a QC within 12 months
- # a person eligible to make a shareholder election makes, or is deemed to have made, an election within 63 days after the date of a shareholder revocation
- # an acquiring shareholder makes an election within 63 days of acquisition of the shares
- # an existing shareholder who acquires legal capacity makes a shareholder election within 63 days of acquiring legal capacity
- # a minority shareholder makes an election within 63 days of becoming a majority shareholder, or a new majority shareholder makes an election in respect of the minority shareholding within 63 days, or
- # a jointly made election is revoked due to any of the events listed above, and a new election is made within the relevant period of grace (63 days or 12 months depending on the underlying reason for revocation).

On application, these periods of grace may be extended by the Commissioner.

Law: IT07 ss [HA 34](#)–[HA 37](#)

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Date when non-complying company ceases to be a qualifying company [¶19-075]

[¶19-075]

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When a qualifying company (QC) ceases to satisfy the criteria of being a QC, that company will generally cease to be a QC from the beginning of the income year in which the event occurred. This will occur regardless of whether it was known, or possible to ascertain at that time, that the company had ceased to comply. However, a company can apply to the Commissioner to defer the cessation of QC status until the first day of a later income year. This application can be made where, at the particular time, the company did not know (and could not reasonably be expected to know) that it would cease to be a QC because of a reasonable expectation or belief that:

- # a new election would be made within the period of grace
- # the company's foreign non-dividend income would not exceed the \$10,000 limit, or
- # QC dividend income derived by a trustee shareholder would be distributed as beneficiary income.

In exercising her discretion, the Commissioner must be satisfied that — with regard to the period of time elapsing between the beginning of the income year and the date of failing to comply with the QC status and also between the date of failing to comply and the date on which the failure to comply became known, and with regard to the types of transactions of the company and any other circumstances — it would be unduly harsh, or inappropriate, to treat the company as having ceased, for the purposes of the Income Tax Act 2007, to be a QC from the earlier date.

Law: IT07 ss [HA 4](#), [HA 11](#)

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Qualifying companies and liability of electing shareholder [¶19-080]

[¶19-080]

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A shareholder who elects that the company be a qualifying company is personally liable for a percentage of any income tax payable by that company. The Commissioner can assess the shareholder and the shareholder is liable as an agent for the share of the company's income tax equal to his or her "effective interest" (see [¶19-055](#)) in the company. In addition, no assessment of income tax either for the company or of an electing person precludes an assessment being made of the other. The Commissioner can also reduce the tax payable in relation to part of a year where a shareholder acquires shares, or disposes of his or her shareholding during an income year and the shareholder can show that the amount actually attributable to the part of the income year in which he or she was a shareholder is smaller on a proportionate basis to the tax payable by the company for the whole year. Where the Commissioner reduces the percentage of tax liability, the shareholder's liability is determined in relation to that reduced percentage.

Law: TAA s [92AB](#)

Last reviewed on 31 December 2025

Qualifying companies and taxation of shareholders [¶19-085]

[¶19-085]

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Where a shareholder receives a non-cash dividend (other than a taxable bonus issue) that dividend has no imputation credits attached and is exempt income in the hands of the shareholder. Where a shareholder borrows money to buy shares in a qualifying company (QC), the shareholder's interest deduction has to be reduced by the amount of the non-cash dividends received, with the balance of the interest deductible if it meets the deductibility test in s [DB 6](#) (see [¶10-650](#)). This restriction extends to associates of the shareholder. This prevents a shareholder or a person associated with that shareholder from receiving an exempt non-cash dividend and also obtaining a deduction for the interest. Where a shareholder in a QC is also an employee, in-kind benefits received by the shareholder-employee are subject to fringe benefit tax. Such benefits are excluded from the term dividend (unless it is an unclassified benefit and the QC elects dividend treatment, see [¶16-585](#) and [¶16-695](#)). Consequently, the shareholder-employee will not receive any non-cash dividends and the shareholder-employee's interest deduction will not be restricted. For a discussion of the taxation of dividends paid by a QC, see [¶19-115](#).

Law: IT07 ss [CW 15](#), [DB 9](#), [HA 14](#)–[HA 16](#)

Last reviewed on 31 December 2025

Taxation of qualifying companies [¶19-090]

[¶19-090]

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Generally, qualifying companies (QCs) are taxed on dividends received from other companies. Previously, s [CW 10](#) did not apply to exempt a dividend derived by a company that has been a QC at any time before the date of derivation of the dividend, except in the case of dividends derived from a foreign company. A dividend received by a QC was not exempt, regardless of the wholly-owned group status of both companies. This was because of a potential avoidance risk. However, on a review it was concluded the rule went too far and prevented the use of the inter-corporate dividend exemption in circumstances when the avoidance risk was minimal and so the scope of the rule has been limited.

In 2017, retrospective amendments were made that apply for the 2005–06 and later income years. The inter-corporate dividend exemption in s [CW 10](#) is now available to companies that have previously been qualifying companies when either:

- # the dividend is derived at least seven years after the company ceased to be a qualifying company, or
- # the company never paid an un-imputed dividend while it was a qualifying company.

With regard to losses, a QC in profit can only utilise the tax losses of another QC in the same group. However, a QC in loss can offset against a non-QC in profit (ie there is no express restriction against this in s [HA 22](#)).

A QC does not have an automatic deduction for interest expenditure — see [¶10-650](#).

Law: IT07 ss [CW 14](#), [DB 7\(2\)](#), [HA 17](#), [HA 22](#)

Last reviewed on 31 December 2025

Qualifying companies and loss balances carried forward [¶19-110]

[¶19-110]

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A qualifying company (QC) can carry forward its loss balances in the same way as a non-QC. However, on becoming a QC, any loss balances that arose in income years relating to when the company was a non-QC were forfeited. Similarly, the loss balance of a non-QC that ceases to exist on amalgamation with a QC cannot be carried forward to the amalgamated QC.

Law: IT07 ss [HA 21](#), [HA 23](#)

Last reviewed on 31 December 2025

Dividends paid by a qualifying company [¶19-115]

[¶19-115]

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Dividends paid to New Zealand resident shareholders by a qualifying company (QC) are not subject to further tax in the hands of the shareholder, unless the shareholder has a marginal tax rate that exceeds the company tax rate.

Dividends paid to non-resident shareholders of a QC are generally liable to non-resident withholding tax, although specific concessions may apply. See [¶26-440](#).

When a QC pays a dividend to a New Zealand resident shareholder, the following applies:

The dividend is exempt income of the shareholder, to the extent that it exceeds total imputation credits attached (see [¶19-120](#)) divided by the basic rate of income tax for companies in the year in which it is derived.

Example:

Bruce Ltd, a QC, declares a dividend of \$85,000, to which \$28,000 of imputation credits are attached. The gross dividend including imputation credits is \$113,000. The non-exempt portion of the dividend is \$100,000 (\$28,000 ÷ 0.28). The exempt portion of the dividend is \$13,000. The shareholder will be required to include as income in his or her personal tax return the dividend of \$100,000, with \$28,000 imputation credits attached. If the shareholder has a marginal tax rate of 33%, the imputation credits will be insufficient to cover his or her tax payable on this dividend.

Any unexpired 10-year bonus issue returned to shareholders before expiry of the 10-year period is not exempt income; rather, it is income to the shareholder.

Any amount of imputation credit is deemed to be attached to the part of the dividend that is not exempt from tax.

Any dividend that is exempt income to a trustee shareholder under these provisions retains its exempt status upon distribution to New Zealand resident beneficiaries of the relevant trust.

Sections [CW 9](#) and [CW 10](#) do not exempt a dividend paid by a QC to a resident shareholder. When a dividend is exempt income under the QC regime, the inter-corporate dividend exemption does not apply.

The whole of the dividend does not constitute resident passive income.

Where a shareholder has a late balance date and a dividend is derived between 31 March and the shareholder's balance date, that dividend is treated as if it had been derived by the shareholder on the day following the shareholder's balance date.

Law: IT07 ss [CW 15](#), [HA 14](#)–[HA 16](#)

Last reviewed on 31 December 2025

Qualifying companies and imputation credits attached to dividend [¶19-120]

[¶19-120]

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When a qualifying company (QC) pays a dividend, the amount of any credits that may be attached during an imputation year is calculated at the end of each imputation year and is the lesser of the maximum imputation credits able to be attached under the imputation regime or an amount calculated in accordance with the formula set out at s [HA 15\(6\)](#). Consequently, the whole dividend paid will be fully imputed. If there are insufficient credits to fully impute the whole dividend, all the imputation credits in the company's imputation credit account (ICA) will be used.

QCs and further income tax

In the case of QCs, a refund or allocation within a wholly-owned group of overpaid income tax can be made regardless of the credit balance in their ICA (unless the tax was overpaid as part of an arrangement to obtain a tax advantage). Further income tax will not be charged in respect of uncleared debit balances caused by refunds, and such debit balances may be carried over into future imputation years for offset against any credits arising.

Shareholder and company dividend statements

A company dividend statement must be completed and the shareholder dividend statement must be issued to the shareholder by 31 May following the end of the tax year in which the dividends were paid: s [HA 19\(4\)](#) (although note that the relevant provisions in the Tax Administration Act 1994 (TAA) require the information to be provided either at the time the dividend is paid or by the 20th of the following month).

The information to be included in the company dividend statement is set out in s [25G](#) and sch [6](#) of the TAA. The information for the shareholder dividend statement is set out in s [29](#) of the TAA. In addition, a QC must inform its shareholders, in the shareholder dividend statement, of the portion of those dividends that are exempt from tax and the portion that is taxable. Also, if the shareholder requests, the shareholder dividend statement must include the amount of non-cash dividends paid to the shareholder during the imputation year.

Shareholder continuity debit

While the company is a QC, the imputation shareholder continuity requirement of 66% for maintaining an ICA balance will not apply. See [¶17-055](#). During this time, debits arise only from attachments to dividends and refunds of income tax.

Where a company ceases to be a QC, there is a debit to the ICA that is equal to the lesser of the balance at that time (after attaching the maximum possible imputation credits to the dividends paid during the imputation year), and the greatest previous balance in the ICA at that date of any prior breach of the 66% continuity rule. See ss [HA 18\(3\)](#) and [OB 41\(3B\)](#).

Example:

Moggy Ltd is a QC. A 40% change in shareholding occurred in Moggy Ltd on 31 March 2013. The ICA balance on 31 March 2013 is \$60,000. On 31 March 2014 Moggy Ltd's ICA balance is \$81,000. The company pays a fully imputed gross dividend of \$200,000 for the year ended 31 March 2014. After payment of the dividend, Moggy Ltd's ICA balance at 31 March 2014 is \$25,000 (\$81,000 # (\$200,000 × 0.28)). On 30 June 2014 (ie during the 2014–15 income year) new individuals purchase shares in Moggy Ltd. No new shareholder elections are filed within 63 days of the change in shareholding. Therefore, the company ceases to be a QC on 1 April 2014.

The debit arising to Moggy Ltd's ICA on 30 June 2014 will be \$25,000. This is the lesser of the excess in the ICA at 31 March 2014 (\$25,000) and the debit that would have arisen as a result in the change of shareholding continuity on 31 March 2013 (\$60,000).

Law: IT07 ss [HA 15](#), [HA 17](#)–[HA 19](#), [OA 18](#), [OB 41\(3B\)](#), [OB 67](#), [RM 32](#); TAA ss [25G](#), [29](#), sch [6](#)

Last reviewed on 31 December 2025

Qualifying companies and the transition to a new entity [¶19-150]

[¶19-150]

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The revised qualifying company (QC) rules continue to apply to existing QCs and loss-attributing qualifying companies (LAQCs) without the ability to attribute losses (see [¶19-010](#)) unless they chose to revoke their QC election or used one of the available transition options. If the company chose not to transition, they remain in the QC rules.

If a QC or LAQC decided to transition, then the transition had to take place within the time frame allowed and satisfy certain requirements to avoid a tax cost. Existing QCs and LAQCs could choose to transition to a look-through company (LTC), partnership, limited partnership or sole trader at no tax cost. The transitional rules have now expired. For further discussion of the transition options, see CCH, *New Zealand Master Tax Guide 2013*, [¶19-150](#).

Note that with effect from 1 April 2017, remaining QCs lose their status as a QC if there is a change in control of the company. An exclusion exists for transfers between close relatives. See [¶19-038](#).

Law: IT07 subpart [HB](#), ss [CB 32C](#), [DV 21](#), [DV 23](#), [DV 24](#), [HA 33B](#), [HZ 4B](#)–[HZ 4D](#)

Last reviewed on 31 December 2025

Background to look-through companies (LTCs) [¶19-155]

[¶19-155]

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Closely held companies are companies with few shareholders. Although many of these companies use the general tax rules to govern their interface with shareholders, there are specific tax rules available for certain types of closely held companies.

The look-through company (LTC) regime provides for the taxation consequences of the company's activities to be attributed to the company's shareholders. Income and expenditure of the LTC is ascribed to the company's shareholders for income tax purposes, with the shareholders consequentially assessable on the income or possibly able to offset any loss against income from another source. Offset of the loss is subject to a loss limitation rule restricting the offset to the shareholder's net investment in the LTC.

The LTC rules (which are contained mainly in subpart [HB](#) of the Income Tax Act 2007 (IT07)) apply for income years beginning on or after 1 April 2011.

Law: IT07 subpart [HB](#)

Last reviewed on 31 December 2025

Transparency and other key features of an LTC [¶19-160]

[¶19-160]

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The key features of a LTC are as follows:

- # An LTC retains all the obligations and benefits, like limited liability, of a corporate entity under company law. However, for tax purposes, income, expenses, gains, losses and tax credits are passed on to shareholders in proportion to their shareholding.

- # The company must have 5 or less look-through counted owners ([¶19-170](#)). The ownership interests of relatives are combined. From 1 April 2017, all shareholders must simply have the same rights, proportionally, to distributions by the LTC ([¶19-165](#)). Before 1 April 2017, all shares had to be of the same class and all owners had to have the same rights and obligations.

- # Only the following persons can hold shares in an LTC ([¶19-170](#)):

- # natural persons

- # trustees, or

- # another LTC.

- # All owners must elect for the LTC rules to apply ([¶19-175](#)). The LTC then retains its status until an election is revoked ([¶19-180](#)).

- # Owners are subject to tax on their share of the LTC's profit at the owner's marginal rate ([¶19-200](#)).

- # LTC losses flow through to the owners who can apply those losses to their other income (subject to the loss limitation rule — see [¶19-215](#)).

- # Owners who sell their shares in the LTC are treated as disposing of their share of the LTC's property ([¶19-225](#)).

- # Owners are subject to income tax on deemed disposal of the LTC's property, unless an exclusion applies ([¶19-225](#)).

Transparency only applies for income tax purposes. The limited liability afforded by the company structure is not affected under corporate law when a company elects to be an LTC. In addition, the LTC is treated as separate from its owners for various withholding regimes and other tax purposes, such as goods and services tax, pay as you earn (PAYE), fringe benefit tax (FBT), employer superannuation contribution tax, retirement scheme contribution tax, resident withholding tax and non-resident withholding tax.

Transparency is achieved by imputing the income and expenditure of the LTC to the holders of the look-through interests in the company in proportion to those interests.

Owners are treated as holding the LTC's property in proportion to their effective look-through interests.

Owners are treated as carrying on the LTC's activities and having the LTC's status, intention and purpose.

All owners are treated as being party to any arrangement to which the LTC is a party. Owners are treated as doing a thing and being entitled to a thing that the LTC does or is entitled to do.

Elections under any Inland Revenue Act concerning the tax treatment of an LTC's income or property, or any valuation or timing methods adopted in relation to an LTC's income or property are initially made or established by the LTC but are then treated as being the election or method of the owners for their effective look-through interests.

Law: IT07 ss [HB 1](#), [YA 1](#) (“look-through company”, “look-through counted owner”, “look-through interest”)

Last reviewed on 31 December 2025

The definition of an LTC [¶19-165]

[¶19-165]

[Click to open document in a browser](#)

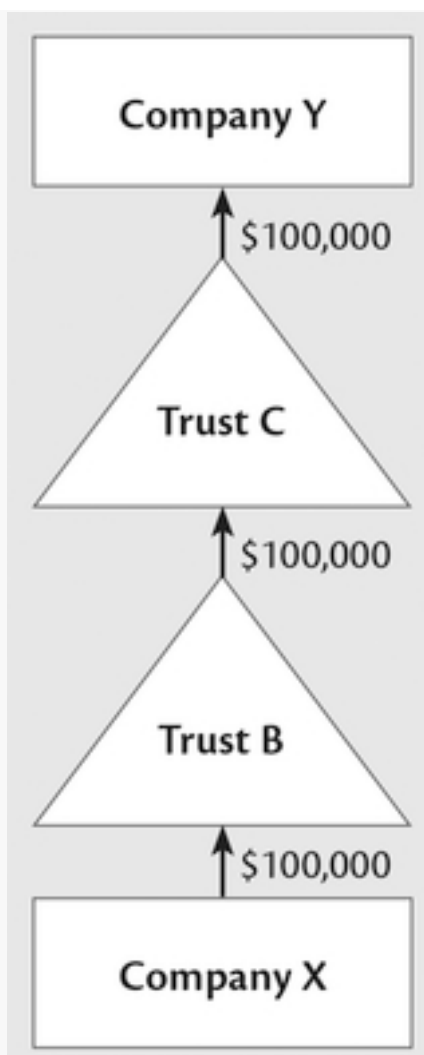
For an entity to be an LTC:

- # it must be a company ([¶16-010](#))
- # it must be a New Zealand tax resident ([¶1-140](#))
- # it must not be treated as a non-resident under a double tax agreement ([¶26-280](#))
- # it must have 5 or fewer look-through counted owners ([¶19-170](#))
- # all shareholders must have the same rights, proportionally, to distributions by the LTC (note that previously an LTC was restricted to having only one class of shares)
- # no owner that is a trustee of a trust makes distributions to corporate beneficiaries, unless the company is a grandparented M#ori authority or a tax charity that has no control or influence over the operations of the LTC or the distributions of the trust (see below)
- # no owner is a tax charity, unless the tax charity is a grandparented charity (see below)
- # no owner that is a trustee of a trust makes distributions to a tax charity beneficiary of the trust, unless the tax charity has no influence over the LTC or trust distributions (see below)
- # no owner is a M#ori authority, unless the M#ori authority is a grandparented M#ori authority (see below)
- # no owner that is a trustee of a trust makes distributions to a M#ori authority beneficiary of the trust, unless the M#ori authority is a grandparented M#ori authority (see below)
- # where more than 50% of the total ownership interests in the entity are held by foreign LTC holders, its foreign-sourced income amount for the income year must not be more than the greater of \$10,000 and 20% of the entity's gross income (see below)
- # it must not be a flat-owning company ([¶24-060](#)), and
- # it must have made an election to be an LTC ([¶19-175](#)).

Trustee owners with corporate beneficiaries

Before 1 April 2017, although direct ownership of shares in an LTC by companies, other than LTCs, was prohibited, a trust that owned an LTC interest could have a corporate beneficiary. This may have unintentionally provided widely-held non-LTC corporates with a way to circumvent the prohibition on direct ownership. From 1 April 2017, the definition of "look-through company" expressly prohibits trusts that own LTCs from making distributions to corporate beneficiaries either directly or indirectly (unless the company is a grandparented M#ori authority or a tax charity with no control or influence over the LTC or the distributions of the trust).

Example:



Trust B is a shareholder of Company X. Trust C is a beneficiary of Trust B. Company Y is a beneficiary of Trust C.

Company X makes a distribution to Trust B. Trust B then passes on the distribution to Trust C who passes it to Company Y. Company X will be ineligible to be an LTC. This is because a trustee shareholder of Company X has made a distribution of income to a company that is indirectly a beneficiary of the trust.

Example taken from *Tax Information Bulletin* [¶295-106 Vol 29, No 5](#), June 2017 at 35.

Tax charities and M#ori authorities

With effect from 1 April 2017, an amendment to the definition of “look-through company” extended the trust approach of looking through to the ultimate beneficiaries to LTCs owned by tax charities and M#ori authorities. This effectively precludes direct ownership by tax charities and direct or indirect ownership by M#ori authorities. However, there are some exceptions. The revised definition expressly allows for distributions by trustees to tax charities that have no influence over the LTC or trust from which they receive the distribution, thus providing for true charitable gifts or donations.

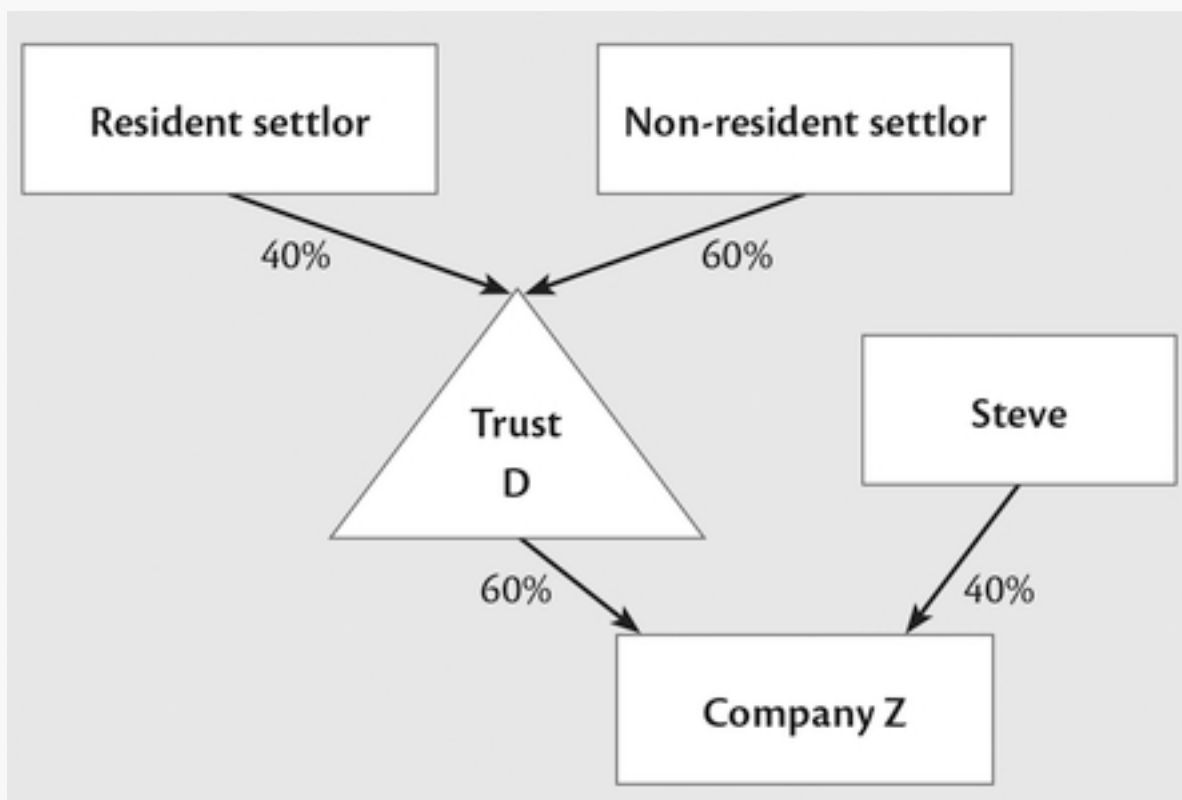
To prevent M#ori authorities and tax charities incurring the compliance cost of converting their LTC interests to limited partnerships, M#ori authorities and charities that had interests in LTCs before 3 May 2016 (the date of the introduction of the relevant legislation) were grandparented. The definition of a “grandparented M#ori authority” includes not only direct ownership interests, but also a M#ori authority beneficiary of a trust that was an owner in an LTC and a M#ori authority that had entered into an arrangement to become

an LTC owner before 3 May 2016. The definition of a “grandparented charity” provides for charities that, before 3 May 2016, were owners of an LTC or had entered into an arrangement to become an LTC owner. Grandparented Māori authorities and charities are able to remain owners of an LTC.

Foreign income restriction

As an LTC is not intended as a conduit vehicle, an LTC’s foreign income is restricted to the greater of \$10,000 and 20% of its gross income when more than 50% of the LTC’s shares are held by foreign LTC holders. A “foreign LTC holder” is a non-resident and includes a trustee of a trust if the trust has a non-resident settlor, but only to the extent that non-resident settlors have provided settlements to the trust. For example, if a trust held 50% of the shares in a company, and 50% of the value of settlements made on the trust were by non-residents, then 25% of the ownership interests in the company would be considered to be held by foreign LTC holders when assessing whether the 50% threshold has been reached. For these purposes, settlements arising from services provided for less than market value are ignored.

Example:



Company Z has two shareholders, Trust D which has a 60% shareholding in Company Z and Steve, who holds a 40% shareholding. Steve is an individual who is resident in New Zealand. Trust D is a trust that received \$100,000 in cash settlements: \$60,000 of the settlements were made by a non-resident settlor and \$40,000 were made by a resident settlor. Trust D's 60% shareholding in Company Z is therefore split between treated as being held by non-residents and residents on a 36:24 basis.

Overall, 36% of Company Z's shares are considered to be held by foreign LTC holders and 64% (40% and 24%) held by residents. Because of this, the foreign income restrictions will not apply to Company Z.

Example taken from *Tax Information Bulletin* [¶1295-106 Vol 29, No 5](#), June 2017 at 37.

Law: IT07 ss [HZ 4E](#), [YA 1](#) (“foreign LTC holder”, “grandparented charity”, “grandparented Māori authority”, “look-through company”, “look-through counted owner”, “look-through interest”)

Last reviewed on 31 December 2025

Eligibility of owners of an LTC [¶19-170]

[¶19-170]

[Click to open document in a browser](#)

Only certain persons may hold shares in an LTC. Shareholders of an LTC must be either:

- # natural persons, or
- # trustees (this includes corporate trustees), or
- # another LTC.

An LTC can be a shareholder of another LTC because of the look-through nature of the company, ie shares held by an LTC are treated as being held by its owners. In contrast, ordinary companies and qualifying companies cannot hold shares in an LTC.

Where an LTC has individual shareholders, the test is easy to apply, and it will be simple to ascertain whether the criterion of 5 or fewer owners has been met. However, where an LTC has more than 5 individual shareholders, or where trustees hold shares, the look-through owner test needs to be carefully considered.

Look-through counted owners

An LTC must have 5 or fewer “look-through counted owners”. Although this term relates to shareholding, it is not interchangeable with the terms “owner” or “shareholder”. This will be apparent when, for example, an LTC is the parent company of another LTC.

Natural persons

Each individual natural person with an interest in an LTC is a look-through counted owner.

Natural person shareholders of companies that have derived LTC income as beneficiary income in the current income year or one of the last 3 income years are treated as look-through counted owners. This is because the company itself is not regarded as a look-through counted owner. The test counts the natural persons who have a voting interest in relation to the company, directly or indirectly, as the look-through counted owners.

Before the 2017–18 income year, natural person beneficiaries of trusts who derived LTC income as beneficiary income in the current income year, or any one of the previous 3 income years, were treated as look-through counted owners.

However, this was considered too narrow and with effect from 1 April 2017 the definition of “look-through counted owner” was amended to count all natural persons who receive distributions from a trust, irrespective of whether they are from the LTC or other sources, or whether they are received by the beneficiary as beneficiary income, trustee income, trust capital or corpus. This ensures the test counts all persons who, though they may not receive beneficiary income, nevertheless benefit from the trust owning LTC shares. Given that the counted owner test looks back to the current and preceding 3 income years, to ensure the new strengthened test only applies prospectively it applies only to income earned from the beginning of the 2017–18 income year. Income earned and distributed to beneficiaries or retained by the trust before the 2017–18 income year is counted under the previous rules.

The transition is summarised in *Tax Information Bulletin* [¶295-106 Vol 29, No 5](#), June 2017 at 33, as follows.

For income year	Which test to apply	Previous year 3	Previous year 2	Previous year 1	Current year
2017–18	Old test	2014–15	2015–16	2016–17	—
	New test	—	—	—	2017–18
2018–19	Old test	2015–16	2016–17	—	—

	New test	—	—	2017–18	2018–19
2019–20	Old test	2016–17	—	—	—
	New test	—	2017–18	2018–19	2019–20
2020–21	Old test	—	—	—	—
	New test	2017–18	2018–19	2019–20	2020–21

To ensure the strengthened test incorporating all distributions to beneficiaries does not result in double counting of owners, trustees are now only look-through counted owners when no beneficiaries of the trust are look-through counted owners (see below).

Example:

An LTC is 100% owned by Trust A. In the 2016–17 income year, Trust A made distributions to 10 beneficiaries that were from non-LTC sourced income.

In the 2017–18 income year, these 10 beneficiaries will not be look-through counted owners as distributions in the 2016–17 income year are considered under the old rules, which do not consider distributions of non-LTC sourced income. If there are no other distributions the trustee will be a counted owner in these circumstances.

Example:

A LTC is 100% owned by Trust B. Trust B has made the following distributions:

2015–16 income year: Distribution of LTC-sourced income to two beneficiaries.

2016–17 income year: Distribution of non-LTC sourced income to two beneficiaries.

2017–18 income year: Distribution of non-LTC sourced income to two beneficiaries.

2018–19 income year: No distributions to date.

All of the beneficiaries are separate individuals.

For the 2018–19 income year, the LTC will have four look-through counted owners. This is made up of the two beneficiaries who received distributions in the 2015–16 income year and the two beneficiaries who received distributions in the 2017–18 income year. The two beneficiaries who received distributions in the 2016–17 income year are not look-through counted owners as distributions for the 2016–17 income year are counted under the old rules which do not consider distributions of non-LTC sourced income.

Examples taken from *Tax Information Bulletin* ¶1295-106 Vol 29, No 5, June 2017 at 33–34.

Relatives

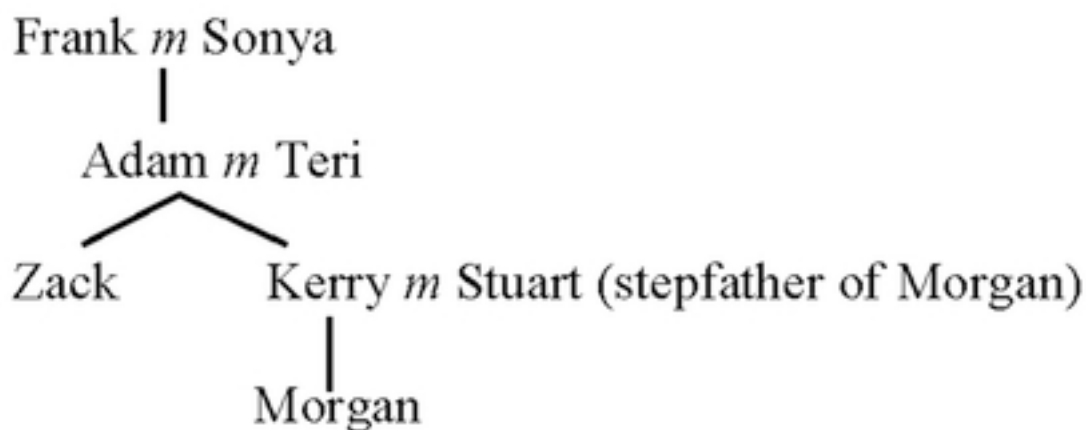
For the purposes of the LTC rules the look-through counted owners test requires analysis of relationships between individual shareholders. Shareholders related by blood relationship (to the second degree), by marriage, civil union or de facto relationship, or by adoption are counted as a single owner for the purposes of this test. A connection by marriage, civil union or de facto relationship extends to a second degree relationship, but adoption extends only to a first degree relationship.

The relationship between a step-parent and a step-child is a second-degree relationship.

The 5 or fewer test is not broken by the death of one person, or the dissolution of the marriage, civil union or relationship, if the shareholders of the LTC were counted as one owner before the death or dissolution.

Example:

Frank is married to Sonja. Their son, Adam, is married to Teri. Teri and Adam have a son, Zack and a daughter, Kerry. Kerry is married to Stuart. Kerry has a daughter, Morgan. Stuart is Morgan's step-father. The family tree looks like this:



If all the family members hold shares in an LTC, then they would be counted as a single look-through counted owner because they are all related to each other within two degrees.

However, if only Stuart, Sonja and Morgan held shares in an LTC, then they would be counted as two look-through counted owners. This is because Morgan and Stuart will be related (and treated as one look-through counted owner), but Sonja is not related to either of them within two degrees of relationship. Therefore, she is counted as a separate look-through counted owner.

Trustees

Before the 2017–18 income year, trustees of a trust were not counted owners if all LTC income was distributed as beneficiary income for the current income year and all of the last 3 income years. Put another way, if the income from an LTC was retained by a trust and not paid out as beneficiary income during those income years, the trustees would be counted as one look-through counted owner.

However, the change to the definition of “look-through counted owner” to count all distributions to beneficiaries (discussed above) also required a change to the way trustees are counted to avoid the potential for double counting of owners. This is because the previous test counted a trustee that retained LTC income and ignored the future distribution of that income as “trustee income” to beneficiaries. From the 2017–18 income year, however, all distributions are counted in the hands of the beneficiary. Therefore, the provision has been amended to ensure that a trustee is a look-through counted owner only when no beneficiaries of the trust are look-through counted owners.

Law: IT07 s [YA 1](#) (“[look-through counted owner](#)”)

Last reviewed on 31 December 2025

Electing to become an LTC [¶19-175]

[¶19-175]

[Click to open document in a browser](#)

A company can only make use of the LTC rules if it meets all the requirements to be eligible ([¶19-165](#)) and has filed an election with Inland Revenue (IR).

For a company to become an LTC, an LTC election form ([IR862](#)) must be completed. All owners of a look-through interest must sign the election form. A legal guardian or legal representative must sign the form on behalf of owners who are under 18 years old, or for any owner who cannot legally sign the form. The director or authorised agent must sign the LTC election form confirming that all owners have signed the election form and that the company meets all the criteria for eligibility to be an LTC.

If a company ceases to meet the criteria to be an LTC, or if one of the owners revokes the election ([¶19-180](#)), the company cannot re-elect to be an LTC for the income year it ceased to be an LTC, or for any of the following 2 income years.

Due date for elections

The deadline for making an effective election depends upon whether the company is an existing company or a newly incorporated company. Due to the fact that elections relate to the income year of a company electing to be an LTC, the due date for filing an election is dependent upon the company's balance date. LTC elections must be received by the Commissioner:

- # for newly incorporated companies or inactive companies, on or before the last day for filing the first return of income, or
- # before the start of the income year stated in the election for commencement of LTC status in the case of other existing companies.

Late filing of look-through company election

If an election is filed after the start of the income year it relates to, or after the due date for the company's first income tax return, the election will usually be processed with an effective date of the start of the next income year. However, the Commissioner has the discretion to accept late or defective elections in exceptional circumstances. Determination of whether exceptional circumstances exist will depend on the facts of each case but usually relate to an event outside the control of the owners, director or agent that could not have been reasonably anticipated.

Tax book values of converted company

A company that elects to become an LTC is treated as having, as an LTC, the same status, intention, purpose and tax book timings and values it had as a company for its assets, liabilities, and associated legal rights and obligations.

Law: IT07 ss [HB 1](#), [HB 13](#)

Last reviewed on 31 December 2025

Revoking LTC elections [¶19-180]

[¶19-180]

[Click to open document in a browser](#)

Any of the owners may revoke an election; they need not be one of the original owners to do so. The revocation notice ([IR896](#)) must be received by the Commissioner before the start of the income year to which it applies. In other words, revocation applies from the start of the income year following the notification of revocation. A copy of the notice should be sent to the director and all other owners to ensure that they are aware that revocation has taken place and consequently there is a change in status for the company. The Commissioner can accept late revocation notices in exceptional circumstances.

A revocation notice may be ignored if the owner issuing the revocation notice disposes of all their interests in the LTC and the person acquiring their interest advises the Commissioner (before the start of the income year) that the previous owner's revocation notice is to be reversed.

If an election for LTC status is revoked, the company cannot become an LTC in either of the following 2 income years.

Law: IT07 ss [HB 1\(1\)–\(3\)](#), [HB 13\(4\)](#)

Last reviewed on 31 December 2025

Eligible investments of an LTC [¶19-185]

[¶19-185]

[Click to open document in a browser](#)

There is no restriction on the type of investment income an LTC may derive.

Foreign-sourced amount

Unlike qualifying companies, which cannot derive more than \$10,000 of foreign non-dividend income in an income year ([¶19-040](#)), there is no limit on the amount of foreign-sourced amounts that an LTC can derive, subject to one exception.

From 1 April 2017, a limitation applies for those LTCs where more than 50% of the LTC's shares are held by foreign LTC holders ([¶19-165](#)). In that case, the LTC's foreign income is restricted to the greater of \$10,000 and 20% of its gross income.

CFC and FIF income

There is no restriction on interests held by an LTC in a controlled foreign company (CFC) or a foreign investment fund (FIF), unlike a QC or LAQC that may not hold income interests of 10% or more in a FIF.

Last reviewed on 31 December 2025

Treatment of losses on transition to an LTC [¶19-190]

[¶19-190]

[Click to open document in a browser](#)

Losses carried forward by a company before becoming an LTC are extinguished.

The same treatment extends to a company that amalgamates with an LTC.

This feature may make the transition to an LTC an unattractive option for those companies with loss balances that shareholders wish to deduct from personal income.

Losses carried forward by a QC that elected to be an LTC under the transitional rules may be used by its owners against their future LTC income. For CFC or FIF losses carried forward, the normal ring-fencing rules under subpart [IQ](#) apply ([¶26-042](#) and [¶26-145](#)).

Law: IT07 ss [DV 23](#), [HB 3](#)

Last reviewed on 31 December 2025

Treatment of untaxed reserves on transition to an LTC

[¶19-195]

[¶19-195]

[Click to open document in a browser](#)

First year income

The LTC entry tax adjustment applies when a company elects to become an LTC. It triggers a tax liability on un-imputed retained earnings by deeming the company to have been liquidated immediately before conversion. This adjustment is intended to ensure that reserves that would generate taxable income for shareholders if distributed before entering the LTC regime and that would be able to be distributed tax-free once the company becomes an LTC, are taxed to owners at the time of entry.

Calculating untaxed reserves

From 1 April 2017, the formula for calculating untaxed reserves ensures that the taxable income that arises to LTC owners as a result of the calculation is taxed at each shareholder's personal tax rate and, for QCs converting to LTCs, that the entry tax formula does not tax owners of QCs any more than they would be if they liquidated before the conversion.

The formula treats the resulting income that flows through to the LTC owners as a dividend, with imputation credits attached where available, thereby ensuring the income is taxed at the owners' personal tax rates in all cases. (This overcomes the problem with the previous formula, which based the calculation on the company tax rate and could lead to under- or over-taxation, depending on the owner's marginal tax rate.)

A person's income is calculated under the following formula:

$$(\text{untaxed reserves} + \text{reserves imputation credit}) \times \text{effective interest}$$

The amount of untaxed reserves is calculated using the formula:

$$\text{dividends} \# \text{ assessable income} \# \text{ exit exemption}$$

where:

dividends is the amount that would be taxable dividends on distribution following a deemed liquidation

assessable income is assessable income less allowable deductions that would arise on the deemed liquidation, for example, depreciation recovered

exit exemption is the exit dividends that, if the company had previously been an LTC and is now re-entering the LTC rules, would be attributed to any retained reserves from the previous LTC period that have not since been distributed.

The reserves imputation credit is the total amount given by the formula below, up to the maximum permitted ratio for the untaxed reserves, and is treated as an attached imputation credit included in the dividend calculated. The formula is:

$$\text{current credits} + \text{future amounts}$$

where:

current credits is the company's ICA balance on the relevant day

future amounts is an amount of income tax payable for an earlier income year but not paid on or before the relevant day, less refunds due of the earlier income year but paid after the relevant day.

The effective interest is the person's effective look-through interest for the LTC.

This formula treats the retained income and imputation credits that would arise on liquidation as being distributed to the individual LTC owners. The owners will need to include the income and imputation credits in their returns of income.

Example:

X Co is an ordinary company. It has two shareholders: Amy, who has 40% of the shareholding in X Co, and Ben, who holds 60% of the shareholding in X Co.

\$500,000 of equity was put into X Co, which X Co used to purchase a \$500,000 house it acquired with the intention of resale. The house is now worth \$700,000. X Co also has \$72,000 of retained earnings and \$28,000 of imputation credits from rent received from the house.

X Co converts to a LTC. As a result, an entry tax calculation is required. The formula is:

$$(\text{untaxed reserves} + \text{reserves imputation credit}) \times \text{effective interest.}$$

The reserves imputation credit is \$28,000. Amy's effective interest is 40% and Ben's effective interest is 60%.

Untaxed reserves

Untaxed reserves are calculated using the formula:

$$\text{Dividends} \# \text{ assessable income} \# \text{ exit exemption.}$$

The dividends are the amounts that would be dividends if X Co sold its \$700,000 house, then liquidated. If X Co liquidated it would have \$272,000 of dividends, being the \$700,000 cash from the property, the \$72,000 of retained earnings, minus the subscribed capital of \$500,000.

The assessable income of X Co would be \$200,000, being the total assessable income that X Co received from the sale of the house (as it was held on revenue account).

The exit exemption would not apply as X Co has not previously been a LTC.

As a result, the untaxed reserves are \$72,000.

As a result, the entry tax calculations are:

$$\text{Amy: } (72,000 + 28,000) \times 0.4 = \$40,000$$

$$\text{Ben: } (72,000 + 28,000) \times 0.6 = \$60,000.$$

These are treated as dividends and imputation credits may be attached to them. Amy may have up to \$11,200 of imputation credits attached, and Ben may have up to \$16,800 of imputation credits attached.

Example taken from *Tax Information Bulletin* [¶295-106 Vol 29, No 5](#), June 2017 at 40.

Qualifying companies with limited imputation credits

For QCs that elect into the LTC rules, the entry tax formula before 1 April 2017 applied tax to all un-imputed retained earnings except eligible capital profits. This was inconsistent with the QC rules, which allow for tax-free distribution of un-imputed earnings as exempt dividends to QC shareholders. From 1 April 2017, an additional formula therefore covers situations when a QC has insufficient credits to cover distributions of all reserves.

$$((\text{balances} \div \text{tax rate} \# \text{balances}) + \text{balances imputation credit}) \times \text{effective interest}$$

where:

balances is the balance of the company's imputation credit account immediately before becoming an LTC, adjusted for unpaid income tax and income tax refunds not received

tax rate is the corporate tax rate for the income year before the income year in which the company becomes an LTC

balances imputation credit is the amount of the item balances above and is treated as an attached imputation credit included in the dividend calculated

effective interest is the person's effective look-through interest for the LTC.

Law: IT07 ss [CB 32C](#), [CX 63](#)

Last reviewed on 31 December 2025

LTC: Allocation of income and deductions [¶19-200]

[¶19-200]

[Click to open document in a browser](#)

The income, expenses, tax credits, gains and losses of an LTC are allocated to owners in accordance with the owner's effective look-through interest in the company.

The income and deductions available from the LTC may be allocated to the owner of an effective look-through interest even though the owner did not hold the interest at a particular time, such as before the company assumed LTC status.

If the owner's voting interest or market interest varies during the income year, the owner may use the weighted average interest to determine their look-through interest.

If the LTC has a market value circumstance in the year, the owner's effective look-through interest is calculated as the average of the owner's voting interest and market value interest in the LTC for the income year.

Alternatively, owners can prepare part-year accounts and allocate income and deductions in accordance with their actual interests held.

Owners may choose which of the above 2 methods they use to allocate income and deductions, unless the Commissioner requires the LTC to allocate assessable income in accordance with actual interests held by the owners where the income is \$3 million or more (s [HB 1\(5\)\(b\)\(i\)](#)).

Because an LTC is transparent for income tax purposes, allowable deductions can be claimed by the owners of the LTC, rather than claimed by the company.

A look-through owner will have an amount of excluded income to the extent that the excluded income results from the application of the look-through rules. Put another way, if exempt income is derived by the LTC, it flows through to the owner and retains its character.

Law: IT07 ss [CB 32B](#), [CX 63B](#), [DV 22](#), [HB 1\(5\)](#), [HB 2](#)

Last reviewed on 31 December 2025

LTCs and interest deductibility [¶19-203]

[¶19-203]

[Click to open document in a browser](#)

Interest may be deductible under s [DB 6](#) provided that the deduction for interest is incurred by the LTC in deriving its assessable income or incurred in the course of carrying on a business for the purpose of deriving its assessable income. See [¶10-021](#) for the commentary on the general permission relating to deductibility.

Deductibility may be subject to the loss limitation rule ([¶19-215](#)). This means that some owners can only offset losses to the extent that the losses reflect the owner's economic loss.

Section [HB 1\(4\)](#) attributes the action of the LTC to its owners. Owners are treated as carrying on the activities of the LTC, having the same status, intention and purpose as the company. Owners are also treated as holding property that the LTC holds, being party to any transaction entered into by the LTC and doing a thing that the LTC does. The Commissioner's view is that to borrow funds to purchase a "something" that will derive assessable income for the LTC is included in this definition of "a thing". The effect is that this provision treats the LTC's action as being those of the owner for income tax purposes. The provision does not work in reverse. The underlying principle that supports the deductibility of interest is the use of the borrowed funds by the LTC, not the use of the funds by the person in their personal capacity.

Commissioner's statements

Where a person sells their private home at its fair market value to an LTC as a rental asset to be rented to a third party on an arm's length basis and the LTC borrows money to fund the purchase, an interest deduction will be allowed. IR confirmed this in [QB 11/03](#), "Income tax — look-through companies and interest deductibility", and also that the tax avoidance provision, s [BG 1](#), will not apply, in [QB 12/11](#), "Income tax — look-through companies, rental properties and avoidance".

The Commissioner has also released [QB 12/08](#), "Income tax — look-through companies: interest deductibility on funds borrowed to repay shareholder current accounts" and [QB 12/09](#), "Income tax — look-through companies: interest deductibility where funds are borrowed to make a payment to shareholders to reflect an asset revaluation". [QB 12/08](#) considers whether interest is deductible where an LTC borrows money on arm's length terms to repay current account loans from its shareholders. It concludes that interest will be deductible to the extent the borrowing replaces current account loans from shareholders that were used directly in the LTC's assessable or excluded income-earning activity or business. The LTC must be carrying on an income-earning activity or business for the purpose of deriving assessable or excluded income both at the time the funds are borrowed and at the time interest on those funds is payable. Interest will not be deductible to the extent the borrowed funds are used to replace current year income.

[QB 12/09](#) considers whether interest is deductible where an LTC borrows money in the following circumstances:

- # the LTC purchases an asset from which it derives income
- # the asset is subsequently re-valued above its purchase price, and
- # the LTC uses the borrowed money to make payments to its shareholders reflecting the increase in the asset's value.

[QB 12/09](#) concludes that the interest will not be deductible under the principle from *Roberts and Smith* ([¶10-650](#)). A deduction may be available under general interest deductibility principles where the relevant nexus is met (eg if the funds were advanced to shareholders at a market rate of interest).

Law: IT07 ss [DB 6](#), [HB 1](#)

Last reviewed on 31 December 2025

Taxation of working owners of an LTC [¶19-205]

[¶19-205]

[Click to open document in a browser](#)

The owners of an LTC are allowed a deduction for payments made to a working owner. The usual PAYE rules apply to the payments made to the working owner. For an owner to be considered a “working owner” that person must meet the definition set out in s [YA 1](#), which requires that their share of salary be paid under a written employment contract and that they personally and actively perform their duties under that contract.

This rule applies as long as the company is not wholly or mainly engaged in the business of investing money or in holding or dealing in shares, securities, investments or land.

For FBT purposes, a working owner is not an employee ([¶21-030](#)). Instead, the benefit provided by the LTC to the shareholder is considered as a distribution of profits to that shareholder.

Law: IT07 ss [DC 3B](#), [RD 5\(3B\)](#), [YA 1](#) (“[working owner](#)”)

Last reviewed on 31 December 2025

Anti-avoidance rules relating to LTCs [¶19-210]

[¶19-210]

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The first anti-avoidance measure relating to LTCs applies when 2 or more owners are relatives and one of those relatives is less than 20 years old (s [GB 25B](#)). In that case, the effective look-through interests, and consequently the income and deductions, allocated to an owner may be adjusted by the Commissioner, having regard to the services rendered and value of contributions made by the various owners to the company.

The rules relating to excessive remuneration paid to a relative also apply to an LTC (s [GB 23](#)). The rules do not apply if (s [GB 24](#)):

- # there is a written contract
- # the relative is 20 years old or older
- # the contract is binding for a period of at least 3 years, and
- # the employee has real control over their income.

Question we've been asked

[QB 14/09](#), "Income Tax — Meaning of 'Excessive Remuneration' and 'Excessive Profits or Losses' Paid or Allocated to Relatives, Partners, Shareholders or Directors" asks when the payment of remuneration or allocation of profits or losses is considered to be excessive for the purposes of ss [GB 23](#) to [GB 25B](#). With respect to LTCs, the item concludes that any remuneration, profits or losses will be considered excessive where:

- # the amount paid is more than a reasonable reward for the services provided by a relative
- # the amount allocated under the LTC rules to a relative (aged under 20) who owns an effective look-through interest in an LTC exceeds a reasonable amount having regard to the value of their contributions by way of services, capital and any other relevant matters.

The Commissioner considers an amount of remuneration is "reasonable" if it is appropriate or fair for the services provided. The item states the following criteria the Commissioner will consider for determining a reasonable payment for services rendered:

- # The nature of the services and the circumstances in which they will be or are performed.
- # The knowledge and skills required to carry out the services, including any particular qualifications.
- # The amount of payment that the person carrying out the duties would be paid by another independent employer for like services.
- # The locality where the duties are being performed.
- # The amount the taxpayer would be prepared to pay an arm's length employee undertaking similar duties.

Income from personal services

Where the personal service attribution rule applies ([¶133-325](#)), then for the purposes of applying the attribution rule, an LTC is treated as the associated entity and not a transparent tax entity. The net income derived by the LTC will be attributed to the person performing the services.

Example:

A company is owned 99% by a family trust and 1% by an individual. The company is an LTC. The company provides consulting services to a single customer. The net income derived by the LTC will be attributed to the individual who performs the services.

Law: IT07 ss [GB 23](#), [GB 24](#), [GB 25B](#), [GB 29\(2\)\(c\)](#)

Last reviewed on 31 December 2025

The deduction limitation rule for LTCs [¶19-215]

[¶19-215]

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The deduction limitation rule was previously one of the key features of the LTC regime. However, it was concluded that the rule resulted in compliance costs that outweighed the benefits of the rule in most cases, but that the rule still had relevance for LTCs working together in partnership or as a joint venture. This is because in many respects they are an alternative to limited partnerships, where a deduction limitation rule is appropriate. They can also be potentially widely-held vehicles. Thus, with effect from 1 April 2017, for the 2017–18 and later income years, the deduction limitation rule has been restricted to LTCs in partnership or joint venture.

The purpose of the rule is to ensure that the tax deductions claimed by an owner correlate to the economic loss suffered by that owner.

The deductions an owner can claim in an income year are limited to their investment (called the owner's basis, see [¶19-220](#)) in the LTC. If the deductions exceed the investment, they are limited in accordance with the deduction limitation rule.

Losses in excess of the owner's basis are carried forward for deduction in future income years. These carried forward deductions will remain subject to the deduction limitation rule in future years.

If at any point the LTC becomes an ordinary company, the owner may apply the restricted deductions against future dividends received from the company.

When an owner ceases to have an interest in the LTC, the restricted deductions cannot be used unless the owner reacquires an interest in the same LTC at a later date.

For those no longer covered by the rule, deductions previously restricted and carried forward by the rule were automatically freed up from the 2017–18 income year and available for offsetting against income from that year onwards. To ensure LTC owners do not claim excessive deductions, the existing anti-avoidance rule in s [GB 50](#) (which treats transactions between partners and their partnerships entered into for a consideration greater or less than market value for an avoidance purpose as taking place at market value) was extended to LTCs and their owners with effect from 1 April 2017.

Law: IT07 ss [GB 50](#), [HB 11](#), [HB 12](#)

Last reviewed on 31 December 2025

Calculating owner's basis for LTCs [¶19-220]

[¶19-220]

[Click to open document in a browser](#)

The owner's basis for the owner of the effective look-through interest is calculated at the end of the income year according to the following formula:

$$\text{investments} \# \text{distributions} + \text{income} \# \text{deductions} \# \text{disallowed amount}$$

where:

investment is the sum of:

market value of the LTC shares at the time of acquisition by the owner based on the equity, goods or assets introduced by the owner to the LTC

loans by the owner to the LTC, including any current account credit balance, and

secured amounts (see below).

distribution is the sum of all payments by the LTC to the owner, such as dividends and a current account debit balance, but does not include salary paid to a working owner.

income is the owner's share of all income, including exempt income, excluded income, FIF income and capital gains, from the current year and preceding income years in which the company was an LTC. The owner's share of the LTC income is increased where the LTC has FIF income and the dividend actually distributed by the FIF to the LTC is higher than the amount of FIF income as calculated using the owner's chosen calculation method. In the case of a FIF loss, the actual dividend amount will be included (see example below).

deductions is the owner's share of all deductions and capital losses in preceding income years in which the company was an LTC.

disallowed amount is investments made by the owner within 60 days of the end of the LTC's income year if these are distributed or reduced within 60 days after the last day of the income year. This is subject to a \$10,000 de minimis rule, ie if the total reduction of investments within 60 days is less than \$10,000, this amount can be ignored.

Example:

Tina is the sole owner of Button Ltd, an LTC. Button Ltd derives gross trading income of \$100 and also receives dividends from a foreign investment fund (FIF) of \$20. There are no expenses. Tina selects the comparative value method for calculating her FIF income from her attributing FIF interests.

Tina has FIF income of \$5 for her interests in this attributing FIF, held via Button Ltd. Under s [HB 1](#), \$105 of income is attributed to Tina from Button Ltd. This \$105 is included in the "income" element of her owner's basis formula, in s [HB 11\(7\)\(a\)](#).

Tina is considered to be at economic risk for the full \$20 FIF dividend received in that income year. Therefore the \$15 difference between the actual dividend and the amount of FIF income calculated under the FIF rules is added to her owner's basis.

$$\text{dividend} \# \text{FIF amount} = \$20 \# \$5 = \$15$$

Example:

Assume Tina has FIF income greater than the dividend amount. The comparative value method for the attributing FIF interest gives Tina FIF income of \$30. No additional amount is included in Tina's owner's basis, because the result of the formula would be negative, and so the result is restricted to zero.

$$\text{dividend} \# \text{FIF amount} = \$20 \# \$30 = \#\$10 \text{ (so restricted to zero)}$$

Secured amounts

To calculate "secured amounts", it is important to understand the meaning of "guarantor", "owner's associate" and "recourse property".

Guarantor

Guarantor means a person who has an interest in an LTC, if:

- # the person guarantees the LTC's debt, or
- # an owner's associate guarantees the LTC debt.

Owner's associate

An "owner's associate" is a person who does not have an effective look-through interest in the LTC, but is connected with the owner, such as a relative, or a trustee who is associated in their capacity as trustee.

A person who is not an owner of an LTC, and is not an owner's associate will be a guarantor (a "third party guarantor") if they provide a guarantee or indemnity for the LTC's debt.

Example:

Mary owns 80% of the shares in Hapsburg Ltd, an LTC. Philip, Mary's husband, owns the remaining 20% of the shares. Philip guarantees a bank loan made to Hapsburg Ltd.

Philip is an owner guarantor.

Mary is not a guarantor because she has not provided a guarantee, and although Philip is her relative, he is not her owner's associate because he is a shareholder in Hapsburg Ltd.

Recourse property

"Recourse property" means property to which a creditor has recourse, to enforce a guarantee or indemnity for the relevant debt, if the guarantee or indemnity expressly provides recourse to only that property.

Example:

William has provided a limited recourse guarantee for his son Charles's company, Dover Ltd, which has a bank loan of \$300,000. William uses his 2 rental properties as recourse property. Due to some severe storm damage, the rental properties have recently declined in value. Their current market value is \$140,000 each and both have an outstanding mortgage loan of \$30,000 that would take creditor priority in the event that the properties are sold.

The amount that Charles may include in his owner's basis is \$220,000, being the market value of the recourse property (\$280,000), less any higher ranking charges (\$60,000).

The net market value of the recourse property is attributed to each of the owner guarantors to the extent of their ownership interest in the recourse property, or to the extent of an owner's associate's interests in the recourse property, where the limited recourse guarantee is provided by an owner's associate.

If there is more than one owner guarantor using the same recourse property for their guarantees, the net market value of the recourse property will be divided among the relevant owner guarantors.

Secured amounts is the lesser of:

- (a) the amount of LTC debt for which the person is a guarantor (see above), divided by the total number of guarantors, and
- (b) the market value of the recourse property (see above) for the secured debt to the extent of the interest that the person and their owner's associates have in it, net of higher ranking calls whether actual, future or contingent, divided by the total number of owner guarantors (ie guarantees made by an owner or an owner's associate).

Paragraph (a) is expected to be the operative provision for nearly all LTC owners. This is because para (b) concerns guarantees under which the creditor's recourse is expressly limited, which is not common in practice.

Example:

Mary owns 80% of the shares in Hapsburg Ltd. The remaining 20% of the shares are owned by Mary's husband, Philip. Hapsburg Ltd is an LTC. It receives a bank loan of \$100,000. Philip guarantees this loan. Philip, the minority shareholder, is the only owner

guarantor and can include \$100,000 as a "secured amount" in his owner's basis. Mary, the majority shareholder, cannot include anything, as she is not a guarantor.

If Mary also provided a guarantee for the bank loan, there would be 2 owner guarantors, Philip and Mary. The \$100,000 debt would be divided by 2, and Philip and Mary could each include \$50,000 in their owner's basis.

Note that the debt is divided by the number of guarantors. The fact that Mary and Philip hold different proportions of shares in Hapsburg Ltd is not relevant to the apportionment of the debt.

Examples adapted from *Tax Information Bulletin* ¶2410-113 Vol 24, No 10, December 2012 at 47.

Law: IT07 ss [HB 11](#), [HZ 4C](#)

Last reviewed on 31 December 2025

Debt remission for LTCs [¶19-222]

[¶19-222]

[Click to open document in a browser](#)

Debt remission, being the extinguishing of a debtor's liability by operation of law or forgiveness by the creditor, generally gives rise to debt remission income to the debtor under the financial arrangement rules.

Self-remission

However, remission income does not arise to either an LTC owner or a partner who remits a debt owed to them by the LTC or partnership, including a limited partnership (referred to as "self-remission"). The financial arrangements rules exclude self-remission by a shareholder of an LTC or a partner in a partnership and enable the shareholder or partner who has lent money to an LTC or partnership to take a deduction equal to their proportion of debt remission income of the LTC or partnership. The shareholder or partner will have a negative base price adjustment in their capacity as creditor that neutralises any income attributed to them as debtor in their capacity as owner or partner.

The same result is achieved in circumstances when an LTC owner or a partner in a partnership disposes of their interests in the financial arrangement.

Example:

Mr Church owns 80% of the shares in TE Limited, an LTC. Barney owns the other 20% of the shares. The company owes Mr Church \$100,000 that it will not be able to pay back. Mr Church wants to forgive the debt as there is no likelihood of recovering it.

If Mr Church forgives the debt, will remission income arise?

The loan from Mr Church is a financial arrangement. As LTCs are transparent entities for tax purposes, Mr Church is treated as borrowing \$80,000 in his capacity as 80% owner of the LTC. Barney is treated as borrowing the remaining \$20,000 as he holds a 20% interest. On the remission of the loan, both Mr Church and Barney are required to perform a base price adjustment. Before the change in the law, the base price adjustment would have resulted in remission income of \$80,000 for Mr Church and \$20,000 for Barney.

As a result of the law change, no income will arise overall for Mr Church. Barney will continue to have remission income of \$20,000.

The change in the law means that where an LTC owner forgives an amount that they lent to the LTC no remission income will arise ("self-remission"). A similar change applies to partners who forgive amounts owed by their partnership. Broadly, the concept of self-remission refers to a remission of debt where the creditor is also the debtor by reason of being an owner of an LTC or a partner. In this case, Mr Church's "self-remission" is \$80,000.

This "self-remission" amount is excluded from the "amount remitted" when Mr Church performs his base price adjustment as lender. The base price adjustment is as follows (assuming "income" and "expenditure" is nil):

$$\text{consideration} \# \text{income} + \text{expenditure} + \text{amount remitted}$$

"Consideration" is \$100,000, being all consideration paid or payable to Mr Church for or under the financial arrangement (nil, because the full amount of the loan is remitted) less all consideration paid and payable by Mr Church for or under the financial arrangement (\$100,000, being the full amount of the loan paid to TE Ltd).

"Amount remitted" is \$20,000, being \$100,000 that is not included in the consideration paid or payable to Mr Church because it has been remitted by him, less \$80,000 of the amount remitted that is excluded because it is a self-remission.

Accordingly, the base price adjustment calculation for Mr Church as lender comes to \$80,000. This amount is treated as interest and is deductible to Mr Church. As LTC owner, the base price adjustment results in income of \$80,000 arising to Mr Church being the consideration received (80% of the funds loaned to the LTC). Overall, the remission of the debt results in Mr Church having income of \$80,000 and deductible expenditure of \$80,000, leaving him in an overall tax neutral position.

Barney still has income of \$20,000 for his share of the debt remitted.

The change in the law applies retrospectively from 1 April 2011.

Taxpayers may also treat arrangements that are excepted financial arrangements under s [EW 5\(10\)](#) as financial arrangements. This applies to persons who have made an interest-free loan in New Zealand currency that is repayable on demand. The ability to treat the loan as a financial arrangement enables a

person who loans money to an LTC to get the benefit of the self-remission amendments when it would ordinarily be unavailable due to the loan being an excepted financial arrangement under s [EW 5\(10\)](#).

Credit impairment

With effect from 1 April 2017, it has been clarified that in respect of a debt owed by an LTC to a third party, the market value of the debtor's interest in the debt is adjusted for any credit impairment. This ensures the debt remission rules apply as intended so that debt remission income arises when an LTC is either liquidated or elects out of the LTC rules. This is important given the limiting of the scope of the deduction limitation rules ([¶19-215](#)), as the debt remission rules are one of the backstops in the IT07 that help to preclude excessive deductions.

IR has stated that debtors do not need to rely on information from the creditor to determine the amount of credit impairment. Instead, debtors need to make a fair and reasonable estimate of the credit impairment based on the information they have available.

To determine the credit impairment, the key question to ask is "if the LTC was sold or liquidated, how much of the debt would be repaid to the creditor?" In most cases, determining this will involve looking at the balance sheet of the LTC to determine the net assets of the LTC.

Example:

Tara sets up a LTC to hold a rental investment property. The LTC gets a mortgage of \$500,000 to finance the purchase of the property. The LTC has no insurance for the property.

Due to flooding, the rental property declines in value to \$300,000. The LTC also has \$50,000 in cash reserves. The only liability of the LTC is the mortgage which still has \$500,000 outstanding.

Tara decides to liquidate the LTC. In determining the market value of the mortgage, Tara must ask "if the LTC was sold or liquidated, how much of the debt would be repaid to the creditor?" Because the LTC has \$350,000 in assets and no other liabilities other than the mortgage, the answer to this question is \$350,000. When making the base price adjustment, this is the value of the arrangement for the LTC to use.

See *Tax Information Bulletin* [¶295-106 Vol 29, No 5](#), June 2017 at 44.

Law: IT07 ss [CB 32B](#), [EW 8](#), [EW 31\(11\)](#), [HB 4](#), [HZ 8](#)

Last reviewed on 31 December 2025

Disposal of look-through interests [¶19-225]

[¶19-225]

[Click to open document in a browser](#)

As the underlying principle of transparency that applies to an LTC dictates that the assets of the company are attributed to the owners of that LTC, the owners of an LTC can expect income tax consequences to flow from the disposal of an interest in the company. An owner who sells shares in an LTC is treated as disposing of their share of the LTC assets.

There are provisions that provide relief from this general rule (see below).

The relationship property rules apply to the disposal of shares under a relationship property agreement (s [FB 10B](#)).

Exceptions to the rules for disposal

An exiting owner of an LTC is not required to account for tax on sale proceeds if the difference between the proceeds and the net tax book value of the owner's interest in the company does not exceed \$50,000.

An exiting owner of an LTC is not required to perform a revenue account adjustment for a disposal of trading stock if the total annual turnover of the LTC does not exceed \$3 million.

The exiting owner of an LTC is not required to account for depreciation recovery income if the LTC has depreciable property (that is not intangible depreciable property) with a purchase price of not more than \$200,000.

The exiting owner of an LTC is not required to perform a base price adjustment ([¶16-358](#)) under the financial arrangements rules where the financial arrangements are necessary and incidental to the business of the LTC, and there is no business of holding financial arrangements.

The exiting owner of an LTC receives excluded income for that part of the purchase price attributable to the disposal of a short-term agreement for sale and purchase.

The purchaser of a look-through interest in an LTC may elect to be treated as always being the owner of livestock that is valued under the national standard cost scheme ([¶127-267](#)) or under the cost price method ([¶127-268](#)).

Deemed disposal

A disposal of an owner's interest in an LTC, at market value, is treated as occurring:

- # if the LTC becomes an ordinary company
- # if the LTC ceases to exist, eg on liquidation or by court order
- # to the extent of a share cancellation by the LTC that is not pro-rata.

The exceptions set out above do not apply to deemed disposals.

Disposal of residential land under the bright-line test

Interpretation statement [IS 25/15](#), "Look-through companies and disposal of residential land under the bright-line test" explains how various situations involving residential land and transfers involving an LTC apply after 1 July 2024. The item analyses whether a disposal takes place in the following situations:

- # a person transfers residential land to an LTC
- # an LTC transfers residential land to the LTC owners
- # where a company that owns land becomes an LTC
- # where a company that owns residential land ceases to be an LTC

a person disposes of some (or all) of their owner's interest in an LTC that owns residential land.

The statement has a summary in tabular form for easy reference to determine if the transfer is a disposal, value of the transfer and whether rollover relief can apply. It also contains practical examples.

Law: IT07 ss [FB 10B](#), [HB 4–HB 10](#)

Last reviewed on 31 December 2025

Ceasing to be an LTC [¶19-230]

[¶19-230]

[Click to open document in a browser](#)

If a company fails to meet the requirements to be an LTC or the LTC election is revoked, it will lose its status and cease being an LTC.

Dividends paid from retained revenue profit after the company ceases to be an LTC are excluded income and not taxable. These reserves are ascertained as if the company had been put through a notional liquidation at the time it ceased to be an LTC. Dividends are treated as being paid from retained profit until the amount of retained profit has been used up. Once those profits have been depleted, the dividends are no longer excluded income. This is to prevent double taxation, the prospect of which arises because any retained profits held by the company would previously have been held by the owners and taxed at their marginal rate, in their hands, in the income year it was derived.

It is not necessary that the dividends are paid to the same shareholders that held shares in the company when it had LTC status. New shareholders may be paid these non-taxable dividends.

The available subscribed capital formula ([¶16-760](#)) is adjusted to reflect capital contributions made while the company was an LTC.

Law: IT07 ss [CD 43](#), [CX 63](#)

Last reviewed on 31 December 2025

LTC: Associated persons rule [¶19-235]

[¶19-235]

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An LTC and an owner are associated if the owner effectively holds 25% or greater interest in a right, obligation, property, status or thing of the LTC.

An LTC and an owner who has a look-through interest in the LTC are associated if the owner is a director or employee of the LTC.

The aggregation rule applies if ownership interests are held by an associated person. A modified rule applies for the land provisions ([¶16-245](#)).

The tripartite test has been modified for the LTC regime.

Law: IT07 ss [YB 13](#), [YB 14](#)

Last reviewed on 31 December 2025

Tax administration for LTCs [¶19-240]

[¶19-240]

[Click to open document in a browser](#)

An LTC must file an annual tax return using an IR7 form. An LTC income tax return must specify the amount of income derived by the company, and the amount of income and expenditure allocated to each owner. There is no assessment of the company. Each owner makes a separate return of income taking into account the allocation of income and deductions from the LTC. Each owner is assessed separately.

An LTC is treated in a similar manner to a QC for the purposes of the disputes resolution regime. Due to the transparent nature of an LTC, owners are treated as taking the LTC's tax position for the purposes of imposing shortfall penalties.

Law: TAA s [42B](#)

Last reviewed on 31 December 2025